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NORTH DAKOTA SUPREME COURT

IN THE SUPREME COURT

STATE OF NORTH DAKOTA

Alan Weigel, Joel Fremstad, and Fremstad Law Firm, PLLC, Petitioners, vs. The Honorable Steven E. McCullough, Judge of the District Court, East Central Judicial District and Jason Albertson, Respondents.	Supreme Court No. _____ District Court No. 09-2025-CV-02257

PETITION FOR SUPERVISORY WRIT

Re: Alan Weigel and Veritas Crane LLC v. Jason Albertson, Cass County District Court, East Central Judicial District, the Honorable Stephen E. McCullough and Judge McCullough's September 22, 2025, Order Granting Defendant's Motion to Disqualify (R.136).

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[¶ 3] STATEMENT OF THE ISSUES

[¶ 4] Whether the District Court erred by Ordering (E1;R.136) the immediate disqualification of Plaintiff Alan Weigel's attorney Joel Fremstad in this case where Weigel and Albertson are each 50% owners of Veritas Crane LLC, are both pursuing direct and derivative claims against each other, pending motions had been fully briefed, there were hearings scheduled less than one week later, Albertson argued that Weigel never had the authority to retain counsel for Veritas, the District Court assumed it had granted a pending motion to amend, the District Court failed to address relevant case law, and the District Court failed to address prejudice to Weigel and lack of prejudice to Albertson.

[¶ 5] RELIEF SOUGHT

[¶ 6] Petitioner, Alan Weigel ("Weigel") seeks a Supervisory Writ[1] from this Court directing that the District Court vacate its Order disqualifying Weigel's attorney Joel Fremstad. (E1;R.136).

[¶ 7] STATEMENT OF THE CASE

[¶ 8] Weigel and Albertson are each 50% owners of Veritas Crane LLC ("Veritas"). (R.1:¶6). On May 20, 2025, Weigel filed a Complaint with the East Central Judicial District Court, with him and Veritas as Plaintiffs. (R.1). On this same date, Weigel filed a Motion for Temporary Restraining Order ("TRO") with him and Veritas as Plaintiffs. (R.4). The District Court denied the TRO on May 23, 2025. (R.17). The District

[1] Weigel also anticipates in the alternative appealing the District Court's Order as was done in ND Indoor RV Park, LLC v. State, 2025 ND 92 and is allowed under the law of other jurisdictions, including California.

Court denied the TRO in part because "Albertson has ceased all involvement in Veritas' daily operations and is no longer actively participating in the management or oversight of the company." (R.17:¶9).

[¶ 9] On June 12, 2025, more than two weeks after first raising an allegation of a conflict (R.16), Albertson filed a Motion to Disqualify Joel Fremstad as counsel for Weigel. (R.25). Among other things, Albertson claimed that Weigel was not in fact a 50% owner of Veritas and that he never authorized Joel Fremstad to represent Veritas. (R.25, 26)[2]. Notably, however, Albertson did not seek any sort of immediate relief to prevent Joel Fremstad from continuing to represent Weigel. On June 12, 2025, Albertson also filed his initial Answer to the Complaint. (R.29).

[¶ 10] On June 26, 2025, James Teigland, also an attorney at the Fremstad Law Firm, on behalf of the Plaintiffs, entered into a Stipulation with counsel for Albertson. (R.35). Among other things, the Stipulation set deadlines for Plaintiffs to respond to the Motion to Disqualify and also addressed how the parties would address Albertson's claim that Weigel had waived attorney client privilege because he had "used his work email account to communicate with his attorneys." (R. 35). The District Court approved this stipulation on June 27, 2025. (R.37).

[¶ 11] On July 2, 2025, Albertson filed an Amended Answer to the Complaint as a matter of right. (R.39).

[2] Albertson's claims are without merit as further detailed in R.120 and related filings. For purposes of the present issue, what is undisputed is that Weigel is not more than a 50% owner of Veritas.

[¶ 12] On July 3, 2025, Plaintiffs made a Motion to Amend their Complaint. (R.42). The Amended Complaint sought to clarify that "any claims brought by Veritas Crane, LLC are brought derivatively because there is apparent confusion regarding Veritas Crane's role in this matter." (R.44:¶3).

[¶ 13] On July 7, 2025, Plaintiffs filed their Brief Opposing Motion to Disqualify. (R.51). Among other things, the Brief emphasized that Albertson's motion must be denied "because this case is a dispute between the only two members of a closely held limited liability company. And while Veritas is a named party, it is effectively a nominal participant." (R.51:¶1). The Brief also distinguished the primary case relied on by Albertson, Voracheck v. Citizen's State Bank of Larkin, 421 N.W.2d 45 (N.D. 1988), where the attorney in that case had, unlike the present case, been counsel for Citizen's State Bank prior to litigation beginning. (R.51:¶¶11-12). Here Fremstad's representation only began in relation to the Complaint and TRO.

[¶ 14] Albertson filed his Reply in Support of Motion to Disqualify on July 14, 2025 (R.55).

[¶ 15] On July 18, 2025, Albertson filed his Opposition to Plaintiffs' Motion to Amend the Complaint. (R.73).

[¶ 16] On July 24, 2025, Weigel, consistent with the parties' earlier Stipulation, moved for a Protective Order in relation to his personal emails that Albertson had illicitly obtained. (R.77).

[¶ 17] On July 25, 2025, Plaintiffs filed a Reply Brief in Support of Motion to Amend. (R.85).

[¶ 18] On July 31, 2025, Weigel gave notice that, as provided for by the Veritas Member Control Agreement, he was withdrawing as a member of Veritas Crane, LLC effective December 31, 2025. (R.103).

[¶ 19] On August 7, 2025, Albertson filed his Opposition to Plaintiffs' Motion for a Protective Order. (R.87).

[¶ 20] On August 7, 2025, Weigel moved to Compel Arbitration and Dismiss or Stay Proceedings "based upon the Veritas Crane LLC Member Control Agreement and N.D.C.C. ch. 29.3." (R.92).

[¶ 21] On August 14, 2025, Weigel filed his Reply Brief in Support of Motion for Protective Order. (R.108).

[¶ 22] On August 17, 2025, a hearing was held on Albertson's Motion to Disqualify. The District Court took the matter under advisement.

[¶ 23] On August 25, 2025, Albertson filed his Opposition to Weigel's Motion to Compel Arbitration. (R.110).

[¶ 24] On August 28, 2025, Albertson served a Notice of Hearing noticing Weigel's Motion to Compel on the same date, September 29, 2025, as Albertson's Motion to Disqualify. (R.118).

[¶ 25] On September 2, 2025, Weigel served his Reply Brief in Support of Motion to Compel Arbitration and Stay Proceedings. (R.120).

[¶ 26] On September 22, 2025, the District Court signed an Order Granting Defendant's Motion to Disqualify. (R.136). The Order only addresses Joel Fremstad. It does not address his co-counsel James Teigland or the Fremstad Law Firm. It also does not explain how to magically change the Complaint such that it is not making the same

derivative allegations under new counsel that are presently being made. Indeed, while the the District Court does not appear to have **actually** decided Plaintiffs' Motion to Amend the Complaint, it repeatedly refers to Plaintiffs' Amended Complaint and seems to **assume** that it granted the Motion. The District Court also erroneously concluded that "by signing and prosecuting Veritas's derivative counts, Fremstad necessarily acted as counsel for Veritas." (R.136:¶8). Ignoring for a moment that this is simply inaccurate (as will be discussed in detail below) and misconstrues the nature of a derivative claim, the District Court also ignored that Albertson has himself brought multiple counterclaims "derivatively on behalf of Veritas" against Weigel, including Count II, Breach of Duty of Loyalty; Count III, Breach of Fiduciary Duty; Count IV, Fraud; Count V, Conversion; and Count VII, Trespass, which would under the District Court's logic result in the disqualification of Albertson's counsel. The only difference is that whereas Weigel included Veritas in the caption with the intention of Veritas being a nominal Plaintiff, Albertson has not done so. (R.39).

[¶ 27] Notably, counsel for Weigel did not get the District Court's Order via Odyssey email on September 22, 2025, as would normally expected. Instead, counsel for Weigel only learned about the Order on September 23, 2025, when counsel for Albertson filed a letter to Judge McCullough, and said counsel had his staff email a copy to both Joel Fremstad **and** Al Weigel directly. In this letter, counsel for Albertson noted that they had received Judge McCullough's Order, noted that there were two hearings set for September 29, 2025, and asserted that "Alan Weigel needs to appear *pro se* or retain new counsel to argue the motions on September 29, 2025." (R.139). This of course is neither fair nor realistic and as such counsel for Weigel promptly sent a letter requesting continuance of

the September 29, 2025, hearing. (R. 140).[3] This argument also is ironic as if Veritas is in fact something other than a nominal plaintiff, Weigel as a non-lawyer could not argue the motions to the extent they impact Veritas, which the District Court actually noted in its Order. (R.136:¶8). The below is a screenshot of the present district court case:

Defendant	**Veritas Crane LLC** 10705 72nd St. S. Horace, ND 58047	
Plaintiff	**Weigel, Alan** 3229 35 1/2 Court Ave. S. Fargo, ND 58104	**Pro Se~~Joel Matthew Fremstad~~** ~~*Retained*~~ ~~701-478-7620 x0000(W)~~

[¶ 28] STATEMENT OF FACTS

[¶ 29] Prior to the present litigation neither Joel Fremstad nor any other attorney the Fremstad Law Firm represented Veritas Crane LLC in any matters. (R.50:¶2). Joel Fremstad does not have any ownership interest in Veritas Crane nor has he been involved with the Board of Veritas Crane. (Id.). Instead, Joel Fremstad and Fremstad Law have not and do not consider Veritas Crane to be a client in the traditional sense, but only as a

[3] Counsel for Weigel is separately in the process of more formally seeking a continuance and/or stay and anticipates it will be necessary to seek the same in both the District Court and before this Court as District Court staff has indicated Judge McCullough does not have availability prior to the scheduled September 29, 2025, hearings. As noted above, Weigel will also be filing a Notice of Appeal and such divests the District Court of Jurisdiction such that the September 29, 2025, hearings should not proceed and the District Court would lack jurisdiction to enter any orders in relation to the same. See, e.g., N.D.C.C. § 28-27-24; State v. Ferrell, 2013 ND 55, ¶ 8, 828 N.W.2d 543 (noting that where appeal was filed on September 4, 2012, that "because of the appeal, the district court lacked jurisdiction to enter the January 3, 2013, order.").

nominal client. (Id. at ¶3). Fremstad Law entered into a fee agreement only with Alan Weigel, not with Veritas Crane, and all fees have been paid by Alan Weigel, not by Veritas Crane. (Id. at ¶ 5).

[¶ 30] Weigel first sought representation in relation to issues he was having with his business partner Jason Albertson. Veritas is a North Dakota limited liability company with its principal place of business in Fargo, North Dakota. (R.1:¶2). Veritas provides a variety of services and goods, including training and inspections relating to cranes and hoists. (R.1:¶10).

[¶ 31] Weigel and Albertson each own 5,000 ordinary Membership Units of Veritas and as such are 50/50 owners of Veritas. (R.1:¶6). Veritas is a Board Managed limited liability company. (R.1:¶7). Weigel and Albertson are each on the Board of Governors of Veritas. (R.1:¶8). Weigel is presently the Secretary and Treasurer of Veritas. (R.1:¶9).

[¶ 32] In addition to Weigel and Albertson, at the time this suit started Veritas had four other employees/contractors, including its office manager, Tracey Emerson, two technicians Cody Godel and Teresa Weigel, and trainer Colleen Nelson. (R.1:¶11).

[¶ 33] Veritas has several dozen customers and vendors that rely on prompt service, responses, and payments. There are daily service calls and orders. Failure to meet obligations can mean that Veritas' customer's manufacturing plants may need to shut down. (R.1:¶12).

[¶ 34] In recent times, various issues have arisen between Weigel and Albertson. (R.1:¶13). As such, Weigel and Albertson had been in discussions to dissolve Veritas and go their separate ways in an orderly fashion. (R.1:¶14).

[¶ 35] During all the initial dissolution discussions, Veritas, through the involvement of Weigel, Tracey, Cody, Teresa, and Colleen, has continued to operate, pay its employees/contractors, service its customers, access bank accounts, and pay its bills, despite Albertson becoming less and less involved and responsive. (R.1:¶15).

[¶ 36] On April 29, 2025, at approximately 10:55 a.m., however, Weigel was unable to get into Veritas' online bank account with Alerus. (R.1:¶16). Weigel called Alerus who helped him unlock the account. (R.1:¶17). About an hour later, Weigel attempted to log into the Alerus account again and was again locked out. (R.1:¶18). Weigel again called Alerus and they helped him get access again. (R.1:¶19). Later on April 29, 2025, Weigel got a message from the CEO/President of Multi Business Solutions who handles all Veritas' accounting, taxes, payroll taxes, state taxes, and beyond and she stated she too was locked out of Veritas' accounts. (R.1:¶20). Weigel next checked with Tracey who handles Veritas' payroll among other things and she too was locked out. (R.1:¶21). Weigel then called Alerus again and was informed that Albertson had requested that Alerus lock everyone, except Albertson, out of all the business bank accounts. Given that Weigel is also an administrator for the account, Alerus once again unlocked the accounts. (R.1:¶22). Once more, however, a few hours later, Veritas and its business solution partners that need access were again locked out. (R.1:¶23). Weigel once again called Alerus and was told that Albertson was claiming fraudulent activity and given this, they would not again unlock the accounts. (R.1:¶24). During all of this chaos, Albertson was nowhere to be found, while Weigel and the other employees/contractors were all working on behalf of Veritas, its employees, and its customers. (R.1:¶25).

[¶ 37] On the morning of April 30, 2025, Weigel again reached out to Alerus. Weigel was told that Albertson was sending various documents and communications alleging wrongful activity and that given this, Alerus had not decided what actions it was going to take. (R.1:¶26). As of the close of business on April 30, 2025, Weigel, his office manager, and Multi Business Solutions, remained locked out. (R.1:¶27). On May 1, 2025, Alerus indicated that it was placing an "administrative hold" of Veritas' accounts, but that "ordinary course and pre-authorized deductions will continue to be made from the account to avoid business service interruption." Alerus further indicated that the "administrative hold will continue until we receive joint, written direction from all authorized signers on the account **or a court order** confirming to act on the account." (R.1:¶28 (emphasis added)). Thereafter, Weigel called and talked to Taylor Lugert of Alerus about a joint written action, and asked that Alerus put something together and send it out to Albertson and Weigel. (R.1:¶29). Taylor thereafter called Albertson and Albertson informed Taylor that he would not sign anything like that to release the administrative hold on the accounts. While the administrative hold is better than having no access, it is not workable. (R.1:¶30). For the first payroll after the administrative hold was put in place, when Colleen went to cash her paycheck, Alerus would not allow the same. (R.1:¶31). Weigel had to personally obtain a new line of credit and used that to ensure that Colleen got paid and had to do so a second time on May 16, 2025. (R.1:¶32). On May 17, 2025, Weigel went to Alerus to deposit customer checks. He was told, however, that the Veritas accounts were frozen and he could not withdraw or deposit funds. (R.1:¶33). Veritas once again had to go to Taylor Lugert of Alerus who, on May 19, 2025, modified the administrative hold to allow for deposits to be made. (R.1:¶34). Beyond the specific issues with Alerus, Tracey indicates

that on multiple occasions, while trying to reconcile the bank accounts in QuickBooks she has been locked out because of Albertson. She has also been regularly locked out of the Alerus accounts by Albertson. As explained by Tracey, she cannot do her job if she does not have consistent access to the bank accounts or full access to QuickBooks, and that Albertson's behaviors do not only have detrimental effects on how Veritas is portrayed to customers, but it also affects the employees that rely on getting paid because Tracey is the one that is responsible for payroll. (R.1:¶35). Counsel for the Plaintiffs has asked counsel for Albertson to cooperate with releasing the administrative hold, but to date no assistance has been forthcoming and the administrative hold remains in place. (R.1:¶36).

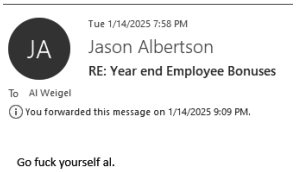
[¶ 38] Initially when Weigel and Albertson went into business together in January of 2019 as Veritas they talked on a daily basis as to what each of them was doing, what needed to be done, and who would be doing what. (R.1:¶37). As Veritas started to grow it began hiring employees to assist with inspections and office management to allow Weigel and Albertson to be out of the office doing training and repairs as needed. (R.1:¶38). Beginning in around the first quarter of 2023 this changed and Albertson spent less and less time in the office and began participating less with employees and company management. (R.1:¶39). During one discussion between Weigel and Albertson, about dividing up duties, Albertson became angry with Weigel. (R.1:¶40). Albertson stated that he physically could not do some of the manual labor anymore because his hips and feet hurt too much climbing ladders or getting in and out of the scissor lifts during hoist inspections. (R.1:¶41). Weigel and Albertson agreed that Weigel would manage and assist the technicians with the major inspections at the larger clients like American Crystal Sugar and John Deere and Albertson would do more of the classroom training which would keep

him off his feet and would not require manual labor. (R.1:¶42). Initially, this arrangement worked. (R.1:¶43). As time went on, however, Albertson quit providing his activities and training schedules on the calendar which Veritas uses to schedule all training, inspections and repair activities and to be able to keep all employees informed of their duties and also allows Tracey the office manager to schedule new trainings and inspections as they get called in to her. (R.1:¶44). Albertson also started putting fictitious duties on the calendar and labeling some of them tentative to keep from having to provide the trainings, inspections, or repairs that would come in on a daily basis. (R.1:¶45). Albertson would become angry when he would get scheduled for more than he wanted to do and at one point yelled at Tracey for scheduling him for work more than two weeks out of the month. (R.1:¶46). In addition, part of Albertson's role was to train and work with Teresa as a new hire. On multiple occasions, however, he would not even observe Teresa, much less provide training. (R.1:¶47). On another occasion, he spent much of the time at the customer's location talking with employees of the customer and made racist and derogatory comments instead of working. On a subsequent visit to that same location, Albertson broke a ladder belonging to the customer and hid it instead of acknowledging his responsibility and refused to put an annual inspection sticker on two hoists simply because he was unwilling to go back up in the scissor lift. (R.1:¶48). On another occasion, Albertson, Cody, and Teresa went to Jamestown for a project, but Albertson abandoned them for the entire day leaving Cody and Teresa to complete the work. (R.1:¶49). One morning Cody was to meet Albertson so they could drive up to Drayton. When Cody got to the office, however, Albertson was sleeping in his truck and smelled like alcohol and slept the entire trip to Drayton, despite him telling all employees drive time is paid time and people must be

awake. After they got to Drayton, Albertson disappeared and Cody once again found Albertson sleeping in the truck. (R.1:¶50). Over the last six months or so, Albertson has nearly completely stopped communicating with Weigel or other employees, will be gone for several weeks at a time with nothing on the calendar, and won't respond to texts, emails or phone calls. (R.1:¶51). It has become very routine for Weigel to be asked by many of the customers and vendors: "What's JR up to? I haven't heard from him in a long time." (R.1:¶52).

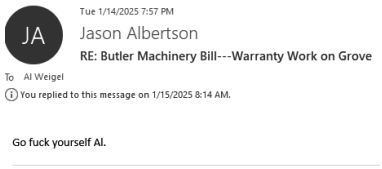
[¶ 39] On one occasion in October of 2024, Albertson was to represent Veritas at a safety conference in Mankato, Minnesota. (R.1:¶53). The night before the conference, however, Albertson said he could not make it because he was stuck at a job in Grand Forks, North Dakota. (R.1:¶54). Tracey then rearranged her schedule to cover the conference. (R.1:¶55). Subsequently, however, Albertson submitted receipts for food and lodging that proved he was actually in Mankato, but did not attend the conference. (R.1:¶56). Albertson did the same thing with two other conferences in Duluth, Minnesota in September 2023, and in Brainerd, Minnesota in October 2023. (R.1:¶57).

[¶ 40] In January of 2025, Weigel emailed Albertson to ask if he had "any thoughts or input for year end employee bonuses." Albertson's response was:



(R.1:¶58). On another occasion, there was an issue with a large bill from Butler Machinery. Weigel emailed Tracey to indicate that he thought the same was a "Warranty Repair and there should be no cost" to Veritas. Weigel cc'd Albertson, that Tracey should talk to

Albertson "as he will be able to confirm and may have to talk to Butler. Albertson's response once again was:



(R.1:¶59).

[¶ 41] Tracey started working as the Office Manager of Veritas Crane in November of 2022. (R.1:¶60). Tracey has reported that for the past year and a half she has struggled to get up and go into work because Albertson has made coming to work very uncomfortable for her and his unpredictable behavior has left her with overwhelming anxiety. (R.1:¶61). In September of 2024, Tracey walked into the office to grab something she had forgotten to make sure everything was ready for written exams and practical testing the following day as well as drop off the mail for the office. (R.1:¶62). During training, Albertson connects his computer to a large TV to show videos and other materials that pertain to class. (R.1:¶63). When Tracey went into the classroom, Albertson was sitting at the desk in front of the classroom where he teaches from. Tracey looked at the TV and Albertson was watching pornography. This made Tracey extremely uncomfortable. (R.1:¶64). There have been multiple other times Tracey had to go into Albertson's office to find POs from customers and his computer would be open to the pornography site Pornhub. (R.1:¶65).

[¶ 42] Part of Tracey's job is to schedule crane operator training classes and assist with proctoring the practical tests and written exams. (R.1:¶66). Albertson, however, stopped consistently communicating with Tracey, stopped using his calendar, and would be gone for weeks at a time. This made it impossible for Tracey to schedule jobs. (R.1:¶67).

Tracey reports that Albertson, on multiple occasions, has gotten very upset with her for not scheduling him any classes despite her explaining that she never knows his availability which cause an overlap of duties. (R.1:¶68). Tracey reports that even when she does try to schedule Albertson, such also resulted in aggressive behaviors. (R.1:¶69). Tracey reports that because of Albertson's aggressive behaviors, yelling, demeaning attitude, lack of morals, and overall hostility, she has felt like she has no choice but to go along with what he says even if it challenges her morals and is not productive towards the growth of the business. (R.1:¶70). Tracey has started working from home on the days she knows that Weigel, Teresa, and Cody will be out of the office on job sites because she does not know if Albertson will be in the office or not. (R.1:¶71). Albertson has created an extremely angry, hostile, and anxiety-filled work environment for everyone, but especially Tracey. (R.1:¶72). In addition to being treated improperly by Albertson, Albertson has also allowed his wife Nicole to mistreat Tracey. (R.1:¶73). Tracey also reports that multiple times a week she get calls from customers stating they have been trying to reach Albertson for weeks and he hasn't responded. (R.1:¶74).

[¶ 43] Albertson has also exposed Teresa to hostile and abusive work environment. (R.1:¶75). As noted above, Albertson has engaged in racist and derogatory comments at customer sites. (R.1:¶76). On another occasion, Albertson took Teresa to a job site in Grand Forks. During the drive there and back Albertson made racist and derogatory comments. During this same trip, he exposed both Teresa and the other employee to dangerous situations for which they were not properly trained. (R.1:¶77). On yet another occasion, Albertson took Cody and Teresa to tear down a grain bin. Albertson brought along two laborers who only spoke Spanish such that safe communication was

impossible. Albertson also was reckless and created an unsafe work environment for the employees. (R.1:¶78). On another occasion, Albertson and Teresa traveled to a job site in Drayton. On the return trip, he stopped in Grand Forks and bought two six packs of beer and drank them while driving. (R.1:¶79). During Cody's first week on the job, Albertson sent Cody to a job site, but failed to show up until later. Cody did not have the experience to do the work by himself and Albertson yelled at Cody when he finally showed up. (R.1:¶80). On another occasion in Drayton, Cody specifically asked if a certain situation was safe and Albertson represented that it was. Albertson sent Cody to the top of the tower and one of the traps came loose and old and new ropes all came loose and crashed down the tower so hard the tower shook. There were other contractors present and someone could have been seriously hurt or killed. (R.1:¶81). On another occasion, Albertson and Cody went to a job in Grand Forks. When they arrived, Albertson and Cody headed inside to go to the bathroom, but Albertson told Cody he had to urinate outside by the truck. (R.1:¶82). During a trip to Jamestown, Albertson spent part of the day missing and much of the rest of the day talking negatively about Weigel. Albertson had brought a container of seasoning and traded it to one of the mechanics on site for a roll of stickers that said "For Rectal Use Only." A couple of days later, Albertson put one of the stickers on Weigel's nameplate on his office door. (R.1:¶83).

[¶ 44] Tracey reports that there have been many parts and supplies ordered by Albertson that no one else in the office sees but she has been ordered to pay for. (R.1:¶84). Tracey has also attempted to keep an accurate inventory, but when she does so, it seems like things go missing. (R.1:¶85). Albertson has admitted that he has taken some of the items purchased to Albertson's Parts City in Breckenridge, Minnesota. (R.1:¶86). On

information and belief, Albertson's Parts City is a family business. (R.1:¶87). Albertson has said that he takes items there because the local farmers really like them. (R.1:¶88). Despite inventory being taken by Albertson for Albertson's Parts City, Veritas has not been paid for any of the same. (R.1:¶89).

[¶ 45] As part of her job duties, Tracey is responsible for compiling information for billing. (R.1:¶90). On multiple occasions, however, he told her, without consulting Weigel, not to send bills for his work and that he would take care of it. (R.1:¶91). Albertson apparently frequently offers discounts to customers that he gets along with and calls them "good guy discounts". (R.1:¶92). Along with these discounts, he frequently chooses not to charge customers for mileage or per-diem but reports the mileage and claims for reimbursement. (R.1:¶93). Tracey has also reported that Albertson has used company funds to buy parts for his personal vehicle, clothing for himself, fishing equipment, and bar bills. (R.1:¶94).

[¶ 46] As part of its services, Veritas oversees certification tests for crane operators through the National Commission for the Certification of Crane Operators ("NCCCO"). (R.1:¶95). Veritas has learned that Albertson has been forging Tracey's signature on NCCCO exams, as among other things Albertson misspelled Tracey's name. (R.1:¶96).

[¶ 47] As detailed above, Albertson has sent various documents to Alerus, which make libelous and slanderous accusations about Weigel. (R.1:¶97). In addition, Albertson has sent similar documents to David Richardson. (R.1:¶98). David Richardson is the majority owner of Paragon, LLC. Albertson and Weigel are each 24% owners of Paragon, LLC. (R.1:¶99). Paragon is a business that is involved with government contracting. (R.1:¶100). David Richardson is a veteran and such allows Paragon certain opportunities

not available to all other businesses. (R.1:¶101). As a result of Albertson's actions, David indicates that until his investigation into Albertson's claims is complete, "Paragon LLC will not conduct any operations, financially, or contractually." (R.1:¶102). Weigel has had to retract a Paragon bid that had been submitted to the Minot Air Force base in the amount of $178,020.00. (R.1:¶103). Alerus also put an administrative hold on Paragon's bank accounts. (R.1:¶104).

[¶ 48] On May 13, 2025, Albertson formed a new limited liability company, Lorax, LLC in the State of South Dakota, despite the fact that neither him, nor any of the other members, are residents of South Dakota. (R.1:¶105). According to the Articles of Organization filed with the South Dakota Secretary of State, the other members of Lorax, are Brian Keith Tillman, of Doniphan, Missouri; Gary Lynn Tillman of Drury, Missouri; and, Michael Scott Tillman of Doniphan, Missouri (cumulatively the "Tillmans"). (R.1:¶106). The Tillmans had previously worked for High Voltage, Inc. in Western North Dakota. (R.1:¶107). Albertson, through Veritas, did crane certifications for High Voltage on a single occasion. (R.1:¶108). Subsequently, the Tillmans sent Albertson a bottle of whisky. (R.1:¶109). Thereafter, Albertson took the Tillmans on a guided fishing trip that Albertson ran the costs of through Veritas. (R.1:¶110). Thereafter, the Tillmans gifted Albertson a rifle. (R.1:¶111). It appears that Albertson has usurped opportunities belonging to Veritas and has abandoned Veritas for Lorax. (R.1:¶112).

[¶ 49] Weigel and Albertson are each presently paid a salary of $6,000 per month for their employee services. (R.1:¶113). As set forth above, however, Albertson has abandoned the company and should not receive a salary for work that he is not doing. (R.1:¶114). While Weigel vehemently denies any claims of wrongdoing, Albertson instead

of using appropriate remedies is destroying Veritas. (R.1:¶115). Since the Complaint, as reflected in Weigel's filings in the record, the level of Albertson's wrongdoing has only accelerated.

[¶ 50] In sum, Weigel and Albertson were on paper 50-50 owners, but Albertson had abandoned Veritas and started a separate business, but was still getting paid and was causing serious banking and other issues. Given this Weigel needed to do something to protect himself and derivatively Veritas and its employees, and brought this suit and also sought a Temporary Restraining Order. The Claims listed in the Complaint included Count I, Breach of Fiduciary Duty; Count II, Dissociation of Member; Count III, Unjust Enrichment; Count IV, Conversion; Count V, Libel and Liber Per Se; Count VI, Intentional Interference with Contract; Count VII, Unlawful Interference with Business; and, Count VIII, Injunctive Relief. The requested injunctive relief included "prohibiting restraining, enjoining, and forbidding Jason, and any persons or entities in active concert or participation with Jason, from taking any action on behalf of or interfering in any way with the operations of Veritas Crane, LLC and ordering that Alan Weigel, acting as President of Veritas Crane, shall have sole and exclusive authority and control over Veritas Crane, including, but not limited to authority to manage the day to day activities, pay bills, and otherwise act or bind Veritas Crane."

[¶ 51] As noted above, Weigel was only a 50% owner and only he, not Veritas Crane, retained Joel Fremstad and the Fremstad Law Firm. When it became apparent that the Complaint was causing confusing, the undersigned sought to amend the Complaint to clarify that "any claims brought by Veritas Crane, LLC are brought derivatively because there is apparent confusion regarding Veritas Crane's role in this matter." (R.44:¶3).

Paragraph one of the Proposed Amended Complaint for example provides: "Veritas Crane LLC ("Veritas"), by and through Alan Weigel, and Alan Weigel ("Alan") (cumulatively "Plaintiffs") for their Complaint against Defendants Jason Albertson ("Jason"), state and allege as follows:" (R.48:¶1). The proposed Amended Complaint contains the same causes of action, but throughout adds clarifying language in regard to the derivative nature of the claims made. (R.48).

[¶ 52] There is nothing in the Docket to indicate that the District Court has actually ruled on Weigel's Motion to Amend. In the District Court's Order, however, the Court repeatedly cites to the Amended Complaint as though it had, which given the deferential standard of review would frankly be expected.[4] (E.g., R.136:¶¶2,7,8). The District Court in its Order also recognized that Weigel was pursuing "both derivative (Counts I-IV & VIII) and direct (Counts V-VII) claims against Albertson." (Id. at ¶8).

[¶ 53] The District Court also noted that Albertson had "brought a number of counterclaims, asserting derivative claims on behalf of Veritas and direct claims against Weigel." (Id. at ¶ 8). For whatever reason, the District Court seems to think it appropriate for Albertson and his counsel to pursue derivative claims against Weigel on behalf of Veritas, but that the opposite is not true, and that "By signing and prosecuting Veritas' derivative counts, Fremstad necessarily acted as counsel for Veritas." (R.136:¶8).

[4] Albertson's brief in opposition was circular in that it essentially only argued, without any support, that Weigel should not be allowed to clarify the derivative nature of the claims. (R.73) This is just one of many examples that show that this is not about a conflict of interest, but is about trying to deprive Weigel of the counsel of his choice.

[¶ 54] JURISDICTIONAL STATEMENT

[¶ 55] This Court has authority to issue supervisory writs under N.D. Const. art. VI, §2, N.D. Cent. Code § 27-02-04, N.D. R. App. P. 21, and N.D. R. App. P. 27.

[¶ 56] ARGUMENT

[¶ 57] I. THIS COURT HAS BROAD SUPERVISORY JURISDICTION TO RECTIFY ERROR AND PREVENT INJUSTICE.

[¶ 58] This Court's power to issue a supervisory writ is granted by the North Dakota Constitution. N.D. Const. Art. VI, § 2. The Constitution does not limit this Court's remedial powers, but instead broadly grants the Court "such original and remedial writs as may be necessary . . . ." Id. As such, this Court has reviewed petitions for supervisory writs on a case-by-case basis. See, e.g., Heartview Foundation v. Glaser, 361 N.W.2d 232, 234 (N.D. 1985). Whether a writ is to be granted depends on whether such is necessary to "rectify error and prevent injustice" and there is no "viable alternative remedy." Id. See also Jane H. v. Rothe, 488 N.W.2d 789 (N.D. 1992); City of Fargo v. Dawson, 466 N.W.2d 584 (N.D. 1991); Burlington Northern, Inc. v. North Dakota Dist. Court, Richland County, 264 N.W.2d 453 (N.D. 1978) (issuing a supervisory writ vacating an improper discovery order).

[¶ 59] The availability of an eventual appeal is not itself a bar to the grant of a supervisory writ. Compare State ex rel. Fitzgerald v. District Court, 703 P.2d 148, 154 (Mont. 1985). As the Montana Supreme Court has explained:

> There are no written regulations or laws respecting our power of supervisory control, and this Court has followed the practice of proceeding on a case-by-case basis although we have been careful not to substitute the power of supervisory control for an appeal provided by statute. We have said, however, that if it is apparent from the record that a relator will be deprived of a fundamental right, both justice and judicial economy require the Supreme Court to resolve the issue in favor of the relator and assume

> jurisdiction. If the cause in district court is mired in procedural entanglements and appeal is not an adequate remedy, we will issue a writ of supervisory control.

Id. (internal citations omitted). As this Court has stated: "Availability of an appeal after final judgment often falls short of sufficient protection, however, as the burden, expense, and delay involved in a trial renders an appeal from a final judgment an inadequate remedy." Olson v. North Dakota District Court Richland County, 271 N.W.2d 574, 578 (N.D. 1978); City of Williston v. Beede, 289 N.W.2d 235, 236 (N.D 1980) (issuing a supervisory writ is appropriate when "if the writ were not granted something would have been done which probably could not have been undone later"). "As the United States Supreme Court said in Sheppard v. Maxwell, 388 U.S. 333, 363 (1966): 'reversals are but palliatives; the cure lies in those remedial measures that will prevent injustice at its inception.'" Olson, at 578.

[¶ 60] II. THE RIGHT TO ONE'S COUNSEL OF CHOICE IS FUNDAMENTAL AND CANNOT BE CORRECTED WITH AN ORDINARY APPEAL.

[¶ 61] It is well settled that a civil litigant has the right to the counsel of its choice. See Thompson v. Goetz, 455 N.W.2d 580, 587 (N.D. 1990); Security General Life Ins. Co. v. Superior Court in and For Yuma County, 718 P.2d 985, 988 (Ariz. 1986); Hepworth Holzer, LLP v. Fourth Jud. Dist., 496 P.3d 873 (Idaho 2021) (We note that there is a First Amendment right to counsel, but it is seldom articulated in that way. It is more appropriately referred to as "a right to counsel of choice."); Herrmann v. Gutterguard, Inc., 199 Fed. Appx. 745, 752 (11th Cir. 2006); Mitts v. Stamps, 352 P.3d 1275, 1277 (Okla. Civ. Ct . App. 2014) (stating that the right to choose one's counsel is "fundamental"); Lawlor v. DVA Renal Healthcare, Inc., 3:15:cv-188, at 3 (D. Conn. 2015); Hemstad Video,

Inc. v. Village of Valley Stream, 409 F.3d 127, 132 (2nd. Cir. 2005). Accordingly, disqualification is contrary to the right to choose one's own counsel to represent them in litigation and the exercise of this Court's supervisory authority is essential to prevent injustice. See, e.g., Sargent County Bank v. Wentworth, 500 N.W.2d 862, 871 (N. D. 1993). In this same vein, a writ is appropriate in relation to the disqualification of counsel because the harm of disqualification cannot be corrected with an ordinary appeal. As explained by the Court in Christensen v. United States Dist. Court, 844 F.2d 694 (9th Cir. 1988): "Theoretically, Christensen could appeal the disqualification of his counsel after trial. He could not, however, obtain the desired relief on direct appeal because he seeks to be represented by his chosen counsel at trial. Once a new attorney is brought in, the effect of the order is irreversible. If Christensen and his attorney elected to defy the order and then pursue a direct appeal, they would be subject to contempt sanctions and disciplinary action for ethical violations." (Internal citations omitted). See also Hepworth Holzer, LLP v. Fourth Jud. Dist., 496 P.3d 873 (Idaho 2021).

[¶ 62] III. THE DISTRICT COURT ABUSED ITS DISCRETION AND ERRED AS A MATTER OF LAW.

[¶ 63] The granting of a writ is appropriate where the District Court abuses its discretion or errs as a matter of law in disqualifying a party's counsel of choice. See, e.g., Hepworth Holzer, LLP v. Fourth Jud. Dist., 496 P.3d 873 (Idaho 2021); Nevada Yellow Cab Corp. v. Eighth Jud. Dist., 152 P.3d 737 (Nev. 2007); In re RSR Corp., 475 S.W.3d 775, 778 (Tex. 2015). See also Discover Bank v. Romanick, 2023 ND 172, 996 N.W.2d 314 (granting petition for supervisory writ where Order was contrary to Rules of Civil Procedure); Pierce v. Anderson, 2018 ND 131, ¶ 6, 912 N.W.2d 291 (exercising supervisory jurisdiction even though issue could have been raised in later appeal because

court's denial of motion contradicted North Dakota law); Martinson v. Martinson, 2010 ND 110, 783 N.W.2d 633 (explaining court abuses its discretion when it acts arbitrarily, unconscionably, or unreasonably, when it misinterprets or misapplies the law, or when its decision is not the product of a rational mental process leading to a reasoned determination). The District Court's ruling here rests on precisely that kind of legal error: it misunderstood the nature of derivative actions and who counsel in such a case represents, and then used that misunderstanding as the foundation for disqualification. That is textbook abuse of discretion warranting supervisory relief.

[¶ 64] In his decision, the District Court asserted that "the threshold question is whether Veritas is or was, in fact, Fremstad's client." (R.136:¶5). In incorrectly answering this question yes, the District Court erroneously concluded: "Derivative Claims are brought on behalf of the entity to redress injury to the entity; ***counsel in such actions represents the entity, not the individual shareholder or member***. See Smithberg v. Smithberg, 931 N.W.2d 211 (2019)" and that "By signing and prosecuting Veritas's derivative counts, Fremstad ***necessarily acted as counsel for Veritas***." (R.136:¶8 (emphasis added)). While it is correct that derivative actions are brought by a shareholder or member ***on behalf of*** a corporation, neither Smithberg nor any other case supports the idea that "counsel in such actions represents the entity, not the individual shareholder or member." Similarly, there is no legal support for, nor does the District Court even try to cite a case to support his conclusion that "By signing and prosecuting Veritas's derivative counts, Fremstad necessarily acted as counsel for Veritas." (R.136:¶8).

[¶ 65] The District Court's premise—that by including derivative claims on behalf of Veritas, Mr. Weigel's counsel thereby became counsel for Veritas—rests on a faulty

assumption. Courts addressing this precise issue have rejected the idea that filing or prosecuting a derivative claim automatically makes the shareholder's (or member's) lawyer counsel for the entity. Instead, disqualification requires proof of an actual attorney-client relationship with the entity—something wholly absent here. See Shen v. Miller, 212 Cal. App. 4th 48, 56–59 (Cal. Ct. App. 2012).

[¶ 66] In Shen, the shareholder's lawyer (Walton) simultaneously represented Shen in a derivative action on behalf of Arnon, Inc. and pursued direct claims against Arnon. The defendants argued, much like Albertson here, that Walton was conflicted because by bringing derivative claims he represented both Shen and the corporation. The trial court and California Court of Appeal rejected that argument and affirmed denial of disqualification, holding that "disqualification is not proper unless an attorney-client relationship exists" with the entity, and the mere fact of pursuing a derivative claim does not create such a relationship.

[¶ 67] Shen is especially instructive because the company at issue was also a closely held corporation with two 50/50 shareholders locked in a personal dispute. Despite the overlap of derivative and direct claims, the court concluded that Walton represented Shen alone**,** not the company. That reasoning applies squarely here. The record shows that undersigned counsel was retained by Weigel personally, performed no pre-suit work for Veritas, and received no authorization or consent from Veritas as an entity (Albertson himself notes that Joel Fremstad and Fremstad law do not and cannot represent Veritas Crane as Weigel is only a 50% owner and Albertson has not consented to the retention of Fremstad or Fremstad Law (E.g, R.25, 26)).

[¶ 68] The District Court nevertheless declared that derivative = entity representation, thereby creating a per se conflict. That conclusion ignores the distinction recognized in Shen—that in closely held two-owner entities, derivative claims are a procedural vehicle to test intra-owner disputes, not a basis to transform one owner's personal lawyer into counsel for the company itself. Because disqualification requires an actual attorney-client relationship with the entity, not merely the assertion of derivative claims, the court's order rests on an erroneous legal standard and must be vacated. See also Gonzalez ex rel. Colonial Bank v. Chillura, 892 So. 2d 1075, 1077–78 (Fla. Dist. Ct. App. 2004) (rejecting claim that derivative counsel automatically represents corporation; disqualification denied absent showing of actual attorney-client relationship with entity: "If the mere fact of pursing a derivative claim that belongs to a corporation, but which the corporation has refused to bring, were enough to establish an attorney-client relationship between the corporation and the lawyer for the derivative plaintiff, there would be no way for the derivative plaintiff to ever have conflict-free counsel. As Gonzalez argues, if we accepted the respondents' contention, we would in effect be letting the fox guard the chicken coop; i.e., the corporation would have the ability to control by whom a derivative plaintiff is represented."); In re Dayco Corp. Derivative Sec. Litig., 102 F.R.D. 624, 630 (S.D. Ohio 1984) ("Nevertheless, the Court agrees with Plaintiff that the case law is virtually unanimous in holding that one counsel can represent a stockholder bringing *both* an individual *and* a derivative action.")

[¶ 69] The District Court's errors and faulty assumptions carryover into Paragraph 9 of its Order, (R.136), when it looks to N.D.R. Prof. Conduct 1.13(g), which applies to "Organization as Client." Rule 1.13 does not come into play, because as noted above in a

derivative action, the attorney does not represent the entity. Comment 12 to Rule 1.13 actually helps makes this clear as it notes: " Under generally prevailing law, the shareholders or members of a corporation may bring suit to compel the directors to perform their legal obligations in the supervision of the organization. . . . Such an action may be brought **nominally by the organization**, but usually is, in fact, a legal controversy over management of the organization." (Emphasis added). See also Daily Income Fund, Inc. v. Fox, 464 U.S. 523, 529 (1984) (reiterating that a derivative suit is one "founded on a right of action existing in the corporation itself, and in which the corporation itself **is the appropriate plaintiff**."). Such is what occurred here, Weigel brought suit directly and derivatively, and named Veritas as a nominal plaintiff, but it was only Weigel and not Veritas that had an attorney client relationship with Joel Fremstad and the Fremstad Law Firm. Thus, the District Court's reliance on Rule 1.13(g) reflects a further misunderstanding and misapplication of the law.

[¶ 70] The District Court's errors then continued on into Paragraphs 10 and 11 of the Order where the District Court focused on Rule 1.7. (R.136). Rule 1.7 prohibits representation of a "client" under various circumstances. Again, **Weigel** is the client and the derivative nature of some of Weigel's claims does not change this. As such, Rule 1.7 does not apply to justify the disqualification of Joel Fremstad or Fremstad Law.

[¶ 71] The District Court's errors then continue on into the penultimate paragraph 12 of the Order. (R.136) The District Court asserts: "Albertson's derivative claims allege injury to Veritas by Weigel, so any recovery would belong to the company and necessarily come at Weigel's expense. This is a zero-sum posture that creates direct adversity and, at a minimum, imposes a material limitation on Fremstad's ability to provide independent

and impartial advice. With Weigel and Veritas opposed in the same litigation-and no informed consent from Veritas-Rule 1.7 prohibits Fremstad from representing Weigel. Disqualification is therefore required." Again, the District Court ignores the reality of a derivative action. The District Court also ignores that Weigel's derivative claims allege injury to Veritas by Albertson, so under the District Court's logic, Albertson's own attorneys would also face disqualification. Such of course is absurd, but illustrates the District Court's error and why the District Court's Order cannot stand.

[¶ 72] Also telling is the District Court's Order nowhere mentions Vorachek v. Citizens State Bank of Lankin, 421 N.W.2d 45 (N.D. 1988), even though Albertson initially staked his motion to disqualify almost entirely on that case (R.25:¶19–23). In Weigel's opposition and supporting declarations, Weigel and undersigned counsel specifically explained why Vorachek is inapposite: in Vorachek, the same attorney simultaneously represented a bank and individual defendants accused of siphoning money from that very bank. The North Dakota Supreme Court concluded disqualification was necessary because the attorney was literally on both sides of the same transaction—representing the entity victim and the alleged wrongdoers at the same time. (R.51:5:¶11-15). That situation is categorically different from the present case. Here, Fremstad has never represented Veritas as an entity, has never been retained by Veritas, and has never provided legal advice to its board. The only client is Mr. Weigel, as confirmed by the written retainer agreement and sworn declarations (R.50; R.51). The derivative claims are simply a procedural vehicle to test ownership and fiduciary issues between Weigel and Albertson, not evidence of dual representation. Ignoring Weigel's briefing on this distinction, the District Court effectively treated Vorachek as controlling without analysis, even though the core rationale of

Vorachek—an attorney caught representing both a corporation and its accused wrongdoers—does not apply here. This omission underscores that the Order rests not on a careful application of precedent but on a flawed assumption about the nature of derivative representation.

[¶ 73] North Dakota law recognizes that disputes in closely held entities are fundamentally different from public-company litigation, and courts therefore avoid rigid, formalistic applications that would exacerbate intra-owner strife or weaponize procedure. See, e.g., Balvik v. Sylvester, 411 N.W.2d 383, 387–89 (N.D. 1987) (acknowledging the "peculiar problems" of closely held corporations and authorizing tailored equitable remedies to address owner-on-owner disputes); Red River Wings, Inc. v. Hoot, Inc., 2008 ND 117, ¶¶18–26, 751 N.W.2d 206 (same; emphasizing flexible, equity-focused relief in two-owner breakdowns). As the North Dakota Supreme Court has recognized "Courts need not ignore the litigation is really a dispute among shareholders." Schumacher v. Schumacher, 469 N.W.2d 793, 798 (N.D. 1991). That pragmatic approach also informs pleading posture: in a two-owner company, derivative counts are often a procedural vehicle to test fiduciary duties and ownership rights while the company appears nominally, not a transformation of one owner's personal lawyer into corporate counsel. Weigel's briefing below explained exactly this point, with record citations showing Veritas functioned as classic two-owner, closely held businesses, and that counsel was engaged by Weigel alone (R.1, R.6, R.47, R.80, R.101, R.121). By treating the mere inclusion of a derivative claim as automatic "entity representation," the District Court's Order ignored North Dakota's closely-held jurisprudence and imposed a result that intensifies the very prejudice those

cases caution against—displacing an owner's chosen advocate in the middle of an ownership fight on the eve of dispositive hearings.

[¶ 74] IV. A WRIT IS WARRANTED TO CORRECT THE INJUSTICE TO WEIGEL

[¶ 75] The prejudice to Mr. Weigel is immediate and irreparable. Disqualification strips him of long-standing counsel of choice on the eve of critical hearings on arbitration and attorney client privilege. This Court has recognized that "availability of an appeal after final judgment often falls short of sufficient protection" when the harm cannot be undone. Olson v. Dist. Ct. of Richland Cty., 271 N.W.2d 574, 578 (N.D. 1978). Here, the burden, expense, and disruption caused by forcing new counsel at this juncture cannot be cured on later appeal. Supervisory intervention is warranted to prevent injustice.

[¶ 76] V. REASSIGNMENT ON REMAND IS APPROPRIATE TO PRESERVE THE APPEARANCE OF JUSTICE.

[¶ 77] As recognized by the Idaho Supreme Court and United States Supreme Court: "One of the realities presented in rare cases like the this one is that mandamus actions such as the one involved in the instant case have the unfortunate consequence of making the (district court) judge a litigant, obliged to obtain personal counsel or to leave his defense to one of the litigants (appearing) before him in the underlying case. The district judge has unavoidably been made a party to this proceeding and has been represented by independent counsel." Hepworth Holzer, LLP v. Fourth Jud. Dist., 496 P.3d 873 (Idaho 2021) (quoting Kerr v. U.S. Dist. Ct, 426 U.S. 394, 402–03 (1976) (internal quotations omitted). As further explained by the Idaho Supreme Court: "In matters of judicial ethics, appearance and reality often converge as one. Liteky v. United States, 510 U.S. 540, 565 (1994) (Kennedy, J., concurring) (citing Offutt v. United States, 348 U.S. 11, 14 (1954)

("[J]ustice must satisfy the appearance of justice"). "Thus, while we make no finding that the district court is biased against Hepworth Holzer in this case, to avoid even the appearance of impropriety we order that the administrative district judge assign a new judge to this case upon remand." Hepworth, 496 P.3d at 886. As in Hepworth, it is appropriate to assign a new judge on remand.

[¶ 78] CONCLUSION

[¶ 79] For the above-mentioned reasons, it is respectfully requested that this Court direct the District Court to vacate its September 22, 2025 Order disqualifying Joel Fremstad, direct that the matter be assigned to a new judge, and grant such further relief as may be just and proper.

[¶ 80] Dated: September 26, 2025.

/s/ Joel M. Fremstad
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ATTORNEYS FOR PETITIONERS

[¶ 81] CERTIFICATE OF COMPLIANCE

[¶ 82] The undersigned hereby certifies that said pleading complies with N.D.R.App.P. 32 in that it does not exceed 38 pages. Specifically, the total number of pages for this pleading is 35 pages.

[¶ 83] Dated: September 26, 2025

/s/ Joel M. Fremstad
Joel M. Fremstad (ND # 05541)

STATE OF NORTH DAKOTA | IN DISTRICT COURT

COUNTY OF CASS | EAST CENTRAL JUDICIAL DISTRICT

Alan Weigel and Veritas Crane LLC,

Plaintiffs,

vs.

Jason Albertson,

Defendant.

File No. 09-2025-CV-02257

ORDER GRANTING DEFENDANT'S MOTION TO DISQUALIFY

[¶1] This present motion was made to disqualify Joel M. Fremstad from representing the plaintiffs in the present action. The present action arises from a business dispute among Alan Weigel ("Weigel"), Jason Albertson ("Albertson"), and Veritas Crane, LLC ("Veritas"), a North Dakota limited liability company that provides crane and hoist inspection, training, and related services. Weigel and Veritas assert both derivative and direct claims against Albertson; Albertson, in turn, brings derivative and direct claims against Weigel.

[¶2] In their Amended Complaint, Weigel and Veritas plead the following causes of action against Albertson: Count I — Breach of Fiduciary Duty (alleging acts and omissions that violated fiduciary obligations owed to Veritas and Weigel); Count II — Dissociation of Member (seeking Albertson's expulsion from Veritas); Count III — Unjust Enrichment (asserting Albertson was inequitably enriched by his conduct and omissions); Count IV — Conversion (alleging wrongful dominion over Veritas's property); Count V — Libel and Libel Per Se (asserting false, unprivileged statements about Weigel); Count VI — Intentional Interference with Contract (alleging Albertson's conduct caused Paragon, LLC

to breach and cease doing business with Weigel); Count VII — Unlawful Interference with Business (alleging interference with Weigel's business relationships, including David Richardson and Paragon, LLC); and Count VIII — Injunctive Relief (seeking to restrain interference with Veritas's operations).

[¶3] Albertson also brought a number counterclaims, asserting derivative claims on behalf of Veritas and direct claims against Weigel, as follows: Count I — Declaratory Judgment (seeking a determination of Weigel's interest in Veritas); Count II — Breach of Duty of Loyalty – Derivatively on behalf of Veritas (alleging wrongful competition with Veritas); Count III — Breach of Fiduciary Duty – Derivatively on Behalf of Veritas (in the alternative) (alleging breach of loyalty by failing to account for and hold Veritas property in trust and by competing with Veritas); Count IV — Fraud – Derivatively on Behalf of Veritas (alleging misappropriation of Veritas funds); Count V — Conversion – Derivatively On Behalf of Veritas (alleging tortious detention of Veritas property); Count VI — Conversion – Albertson (alleging Weigel wrote himself a check from Paragon for both his and Albertson's draws); Count VII — Trespass – Derivatively on Behalf of Veritas (alleging interference with Veritas's use and enjoyment of its premises and equipment, including preventing Albertson's access); Count VIII — Defamation (alleging false statements about Albertson); and Count IX — Dissociation of Member – N.D.C.C. § 10-32.1-48 (In the Alternative) (seeking Weigel's expulsion from Veritas).

[¶4] Albertson has now filed a motion to disqualify attorney Joel Fremstad from representing Weigel and Veritas. He argues that Fremstad's dual representation is untenable because Albertson's derivative claims on behalf of Veritas place the company directly adverse to Weigel, creating an irreconcilable conflict. Albertson further contends

that Fremstad lacked the authority to appear for Veritas and that he, as a Veritas owner, does not consent to such representation. Fremstad opposes disqualification. He contends the dispute is fundamentally between Weigel and Albertson and that Veritas—though named—is a nominal party. On that basis, he argues there is no actual adversity between his clients, no conflict requiring disqualification, and that disqualification—being a drastic remedy—is unwarranted on this record.

[¶5] With it being that Fremstad claims Veritas is not a client, the threshold question is whether Veritas is or was, in fact, Fremstad's client.

[¶6] "The lawyer-client relationship begins when the client acknowledges the lawyer's capacity to act on her behalf and the lawyer agrees to act for the benefit and under the control of the client. In re Disciplinary Action Against Ward, 2016 ND 115, ¶ 12, 881 N.W.2d 226 (citing Disciplinary Board v. McKechnie, 2003 ND 22, ¶ 19, 656 N.W.2d 661). "The existence of an attorney-client relationship depends on the circumstances of the case and may be implied from the parties' conduct, but it does not depend on an express contract or the payment of fees." Id. An attorney-client relationship "may arise when a putative client reasonably believes that a particular lawyer is representing him and the lawyer does not disabuse the individual of this belief." Id. (quoting ABA/BNA LAWYERS' MANUAL ON PROFESSIONAL CONDUCT, at 31:101 (2002)).

[¶7] Veritas and Weigel are co-plaintiffs in the amended complaint, and Fremstad signed the pleading as counsel of record for both. In his March 20, 2025 declaration (filed in support of the MOTION FOR TEMPORARY RESTRAINING ORDER), Fremstad states he "represented the plaintiffs," and that on multiple occasions in April and May engaged with Albertson and his counsel to request that Albertson cooperate to get full banking

functionality back with Alerus. (Docket No. 10.) Weigel having limited Albertson's access to the Veritas and its facilities, stated, in a June 23, 2025 email, Weigel (identifying himself as "CEO" and "member manager") states he acted "per [his] attorney's recommendation" to "maintain the integrity of the business," and directs employees to contact "the attorney, Joel Fremstad" regarding access issues. (Docket No. 58.) Taken together, these outward, objective manifestations show that Fremstad appeared for the company, advised its management, and acted to assert and secure Veritas's corporate rights. And under North Dakota law, the "practice of law" encompasses not only courtroom advocacy but also legal advice and the drafting of instruments that "set forth, limit, terminate, claim, or grant legal rights." Cain v. Merchants Nat. Bank & Tr. Co. of Fargo, 66 N.D. 746, 268 N.W. 719, 719 (1936).

[¶8] The nature of the pleadings further reinforces that conclusion. The Amended Complaint asserts both derivative (Counts I–IV & VIII) and direct (Counts V–VII) claims against Albertson. Derivative claims are brought on behalf of the entity to redress injury to the entity; counsel in such actions represents the entity, not the individual shareholder or member. See Smithberg v. Smithberg, 931 N.W.2d 211 (2019). And artificial entities, including limited liability corporations, must appear through licensed counsel. See State ex rel. N.D. Dep't of Labor v. Riemers, 2008 ND 191, ¶ 9, 757 N.W.2d 50, 53, *overruled on other grounds by* Burgard v. Burgard, 2013 ND 27, ¶ 9, 827 N.W.2d 1. By signing and prosecuting Veritas's derivative counts, Fremstad necessarily acted as counsel for Veritas.

[¶9] Under N.D.R. Prof. Conduct 1.13(g) provides that "[a] lawyer representing an organization may also represent any of its directors, officers, employees, members,

shareholders or other constituents, subject to the provisions of Rule 1.7. If the organization's consent to the dual representation is required by Rule 1.7, the consent shall be given by an appropriate constituent of the organization other than the individual who is to be represented.

[¶10] Albertson contends that his derivative (counts II-V & VII) and direct claims (VI & VIII) create an irreconcilable conflict of interest requiring the disqualification of Fremstad under Rule 1.7 of the North Carolina Rules of Professional Conduct. Rule 1.7, N.D.R. Prof. Conduct, addresses general conflicts of interest:

> (a) A lawyer shall not represent a client if the lawyer's ability to consider, recommend, or carry out a course of action on behalf of the client will be adversely affected by the lawyer's responsibilities to another client or to a third person, or by the lawyer's own interests.
>
> ....
>
> (c) A lawyer shall not represent a client if the representation of that client might be adversely affected by the lawyer's responsibilities to another client or to a third person, or by the lawyer's own interests, unless:
>
> (1) the lawyer reasonably believes the representation will not be adversely affected; and
>
> (2) the client consents after consultation. When representation of multiple clients in a single matter is undertaken, the consultation shall include explanation of the implications of the common representation and the advantages and risks involved.

N.D.R. Prof. Conduct 1.7(a) & (c).

[¶11] "Conflicts of interest affect a lawyer's loyalty, which 'is an essential element in the lawyer's relationship to a client.'" In re Disciplinary Action Against Bullis, 2006 ND 228, ¶ 13, 723 N.W.2d 667 (quoting Comment [1], N.D.R. Prof. Conduct 1.7). "When a lawyer has conflicting responsibilities as the lawyer for various clients, those loyalties owed to

the client are impaired. See In re Christensen, 2005 ND 87, ¶ 14, 696 N.W.2d 495. "The mere possibility of adverse effect upon exercise of free judgment prevents a lawyer from representing clients with opposing interests." In re Gerde, 634 N.E.2d 494, 497 (Ind.1994). Although the conflict situation described in subsection (c) of the rule may be waived by the client, if a conflict situation described in subsection (a) arises, "the lawyer is absolutely prohibited from undertaking or continuing representation of the client." Comment, N.D.R. Prof. Conduct 1.7.

[¶12] Albertson's derivative claims allege injury to Veritas by Weigel, so any recovery would belong to the company and necessarily come at Weigel's expense. This is a zero-sum posture that creates direct adversity and, at a minimum, imposes a material limitation on Fremstad's ability to provide independent and impartial advice. With Weigel and Veritas opposed in the same litigation—and with no informed consent from Veritas—Rule 1.7 prohibits Fremstad from representing Weigel. Disqualification is therefore required. Accordingly, based on the foregoing, it is hereby

[¶13] **ORDERED ADJUDGED AND DECREED**, that Defendant Jason Albertson's MOTION TO DISQUALIFY COUNSEL be, and hereby is, **GRANTED**.

Dated this 22nd day of September, 2025.

BY THE COURT:

Hon. Steven E. McCullough
Judge of the District Court